

deflation. Second, they are not even fully funded in many cases. Among single-employer pension plans insured by the Pension Benefit Guaranty Corporation, the shortfall, i.e., the amount these corporations *should* have on hand to pay promised liabilities but do not, rose to \$71 billion in 1993, a 40% increase over the previous year's level. Companies' raids on assets are excused by the assumption that "everything is fine; we can fund it later." It does not help that the Pension Benefit Guaranty Corporation itself, which is a quasi-government agency that insures private pension plans, currently faces a \$1.2 billion *deficit*. Even that is only a minor shocker compared to the fact that the U.S. government's own retirement programs are underfunded by *more than \$1 trillion*. "Relax," they must be saying, "we can pay as we go with tax money and more bond issues, like we do with all our other promises." That game is about to end. When the deflation hits, countless pension plans will run dry of assets, and workers counting on them for retirement will find they have no value at the worst possible time: when the economy is in depression and their jobs are lost or at risk.

Insurance is considered most people's backup plan in case of disaster. Unfortunately, insurance companies in general are as caught up in the Great Asset Mania as anyone. As noted in Chapter 11, at least one company has already failed because it issued Guaranteed Investment Contracts (GICs) promising a return that the company could not meet. Most insurance companies hold a great portion of their assets in real estate, which is a highly illiquid investment in a bear market. Stocks and bonds, though liquid, also face bear markets, so will not be strongholds of value either. Few insurance companies have assets in high quality short term interest-bearing paper. When the markets fall and liquidity dries up, insurance companies will find themselves underfunded, and claims will go unfilled. Many will collapse under the weight of increasingly worthless portfolios. If you run an insurance company, get your portfolio liquid now. If you are an individual who can provide your own insurance, do so. At present, Swiss annuity certificates appear to offer the most attractive alternative.

The one and only place to put your money to insure that it will hold *some* purchasing power relative to goods and services is into money itself: physical gold. I do not include gold among a list of investments because gold is not an investment; it is *money*. Sad to say, hoarding money does not add to productive capacity or prosperity. But in times of government currency and credit mismanage-